INTUIT INC INTU

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by rustler37

			2026	2027
Price:	261.00	EPS	0	22
Shares Out. (in M):	276	P/E	0	12
Market Cap (in $M):	72,036	P/FCF	0	8%
Net Debt (in $M):	-618	EBIT	0	8
TEV (in $M):	71	TEV/EBIT	0	8

Description

Long Intuit Inc. (INTU)

Down -60% YTD, Intuit is the worst performing stock in the NASDAQ 100. Distant runners up include Workday (-43%) and Adobe (-41 %%) which have both recently been written up on VIC for not dissimilar reasons.

Intuit owns QuickBooks and TurboTax which both dominate their respective markets. This is a special business that has historically commanded a premium valuation and can now be purchased for a bargain price because of a misunderstanding around the impact of artificial intelligence.

The long term history is impressive. Over the last five and ten years revenue/operating income/EPS have grown 20%/18%/16% and 16%/19%/19% respectively. For the current year ending July the company should grow revenue 11-12% and GAAP/non-GAAP EPS 16% and 18% respectively. Going forward I expect management to be able to largely deliver on their long term mid-teens EPS growth guidance. It seems a low bar considering that the company is repurchasing stock at a current run rate of 11% a year (9% adjusting for run rate stock comp, though that should be coming down).

Despite the strong underlying fundamentals there is great concern that the business (and TurboTax specifically), is an AI loser. INTU trades at 12x forward earnings (stock comp adjusted, 10x on street), the lowest it's ever traded, including during the financial crisis.

History as a guide

I submit that Mr. Market is getting this one wrong in a way that rhymes with the way he got wrong the business model shift from licensed to subscription software in the 2011 to 2013 period. That time proved to be a generational buying opportunity for excellent businesses whose market positions enabled them to successfully navigate the shift, businesses like Adobe, Microsoft and …Intuit.

The shift from licensed to subscription software is an example of a Clayton Christensen "Sustaining Innovation." Ultimately subscription software became more expensive for the consumer but it also became much better. As such, customers eventually paid up for the better product and the *incumbents* won (at least in the examples of ADBE, MSFT, INTU, etc.).

AI will almost certainly prove to be bigger and more transformative than the move from licensed to subscription software but there are lessons from that history. From the consumer perspective (in this case the small business or the individual tax filer) it is likely that AI will also prove to be a sustaining innovation—customers will end up paying INTU a little bit more for all kinds of AI bells and whistles and the results (especially regarding SMB employee efficiency) will be much, much better.

At the risk of stretching the Christensen analogies too far, AI is so transformative that it likely turns out to be a "New Market Innovation" like the iPhone. In New Market situations the winners are determined by his "Jobs-to-be-Done" (JTBD) theory. JTBD says that winners are those who map their products closest to the emotional, social and functional jobs the consumer is trying to resolve.

No one is closer to SMBs and individual taxpayers than INTU. By a very wide margin. INTU understands this reality and for years the company has been working to integrate machine learning into its software so that QuickBooks and TurboTax automatically solve more and more jobs for the consumers. Recent advances in AI capabilities are supercharging this trend. If you listen to company presentations and especially the investor days, they explicitly use the JTBD language and it's how they are approaching the AI shift.

It is becoming increasingly apparent (witness China's AI strategy or Satya Nadella's comments last week) that while leading edge frontier models are sexy and scary, the heavy lifting that AI will do in the economy is going to be done by simpler, more stable and much cheaper commodity models. This makes perfect sense – if I can buy AI that's 90% as good as the very best for 5% of the cost, that's what I'm going to use for all but the very most important jobs. The result is that winners in INTU's core categories of SMB accounting (including payroll, payments, timekeeping, etc.) and individual taxes will be whoever best ***integrates*** AI into existing systems and workflows. INTU is hyper focused on this outcome and they are best positioned to realize it.

I believe that a few years down the road we will look back on this time as a generational opportunity to buy a number of fantastic businesses at bargain prices. And just like that 2011-2013 period, INTU is top of the list.

INTU's AI strategy is working

In October of **2019** at his first analyst day as CEO, Sasan Goodarzi articulated his vision of turning INTU into an "AI-driven expert platform" for both the TurboTax and QuickBooks businesses:

> The essence of our strategy that we've been talking about is about an AI-driven expert platform. Let me unpack that very quickly. The platform element is truly to be an open platform, where we and others can build on the platform to help solve the customer problems that I mentioned.
>
> The second is about significantly accelerating the application of artificial intelligence. We've defined artificial intelligence as machine learning, knowledge engineering and natural language processing. For us, machine learning is about taking rich data sets that are customers' data sets and building decision engines and algorithms to automate all experiences for our customers. Knowledge engineering is about turning rules and the relationships between data into code. And natural language processing is about taking the interaction that all of you have in this room and others with products and services and revolutionizing those experiences. We have shifted a significant amount of our resources to revolutionize experiences because of AI in, very specifically, those areas that I mentioned.

> And then last but not least is expertise. **The largest customer problem that our customers face is confidence.** No matter how easy you make the platform, they still want to know somebody's going to be there to help them, whether it's through chat, whether it's through video, whatever the means may be. And so we view that the marriage of technology and people on our platform will revolutionize experiences and will give us the opportunity to digitize the entire service industry. Hence, AI-driven expert platform.

INTU has narrowed the focus somewhat but over the subsequent seven years the company has largely executed on this vision and you can see it in the results. I believe that the recent advances in AI will supercharge these trends as TurboTax and especially QuickBooks are able to do more for customers and move up market as disruptors.

At its core, INTUs strategy is to use AI to deliver **“done for you experiences”** for customers. Examples include processing emails or images of receipts and then automating payables and receivables; automatically sending emails to speed up the collection of overdue invoices and automatically tracking employee hours and automatically preparing and running payroll. AI is enabling these kinds of services across the businesses so you can’t pull out an explicit AI related revenue number for INTU, it is everywhere.

The company does report the “online services” component of the Global Business Solutions segment (GBS, effectively QuickBooks). Online services captures payroll processing and what they call the “Money Portfolio” (payments, lending bill pay, etc.). Today online services represents ~40% of GBS revenue and it is growing mid-teens. Anecdotally the company says that annual payroll and Money Portfolio revenues are $1.4BN each (a combined 25% of GBS revenue) and are growing 37% and 25% respectively.

Not only is AI enabling QuickBooks to take share from standalone payroll and payments offerings, the company is starting to go up market in a way that is highly disruptive to ERP incumbents. Historically the best customers eventually had to roll off QuickBooks as their specific needs grew (multi-entity accounting, inventory management, complex reporting, etc.). INTU has historically tried to keep these $2M - $10M customers with their QuickBooks Advanced (QBA) offering. AI innovations are enabling faster and better improvements in the QBA offering keeping customers on the platform longer. More recently INTU launched the Intuit Enterprise Suite (IES) aimed at customers up to $100M. IES costs $27K on average and is basically a not as good but much cheaper competitor to NetSuite. The company argues they can have an existing QB customer migrated to IES in 30 days for $30K-$50K less than a traditional implementation. Going after these midmarket segments is a core focus of the company – they don’t disclose midmarket revenue explicitly but they say midmarket is growing over 40% and I estimate that implies something like 10% of total GBS revenue.

A generalist’s perspective

I am not a software expert. INTU is the first pure play SAAS company I’ve ever owned in size. I know there’s a thing called the rule of 40 but I can’t explain it to you and I’ve never grokked why it matters. As a congenital value investor, my Spidey sense tells me now is the time to focus on turning over as many rocks as I can related to software. Looking at the opportunity set from a high level I have two observations that lead me to view INTU as particularly interesting at this moment and potentially superior to other bombed out software opportunities.

The first is that QuickBooks lacks the seat-based pricing risk of many excellent SaaS businesses like ADBE, WDAY, CRM, and maybe even MSFT. Agents seem likely to take over more and more work and that will mean that many SaaS businesses will have to navigate both a changing competitive environment *and* a significant business model shift, to the extent the right answer is consumption based pricing (or something else).

It’s easy to forget that the average business using QuickBooks pays only $980 a year for the service. I would guess this puts QuickBooks spend in the bottom 5% of cost items for most of its customers. Based on experience, I think it’s reasonable to assume most over-worked small business owners would happily pay $980 a year just to not have to learn a new program. The fact that QB gets better, incorporates AI into the business and does more for me over time is all gravy. Good luck disrupting that.

The other category of all-time great software businesses that I think makes sense to dig into right now is the serial acquirers like Constellation Software and Tyler Technologies. Again, not an expert on these businesses but from a high level I believe INTU is an easier bet. Adapting to an AI universe seems a much heavier lift when it means working with hundreds of vertical software businesses and teams that each have to figure out how to both combat potential lower cost AI competitors and also how to use AI to improve their offerings and become more efficient. Ensuring that each business segment is successfully using AI to enable them to become disruptors and grow their TAM is a taller order still.

There is both a capital and human cost required to figure out how to use AI effectively in a business. As such, there are inherent operational and efficiency advantages in only having to apply those efforts to two core offerings in two broad categories as opposed to hundreds of offerings across as many small categories.

Relative to the vertical software acquirers, INTU seems years ahead when it comes to incorporating AI into their core businesses and there is a clear(er) path forward. I wouldn’t be surprised if a many of the small vertical software products/brands benefit from the decentralized operating structure of the serial acquirers and end up thriving in an AI world. However my sense is that a high level these companies are taking a conservative approach to transforming their businesses and it seems inevitable that some of their products/brands will get left behind.

At a minimum, from the outside it’s much easier for me to develop a strong view on the AI risks and opportunities related to a business that has two primary verticals vs. one that has hundreds of individual niche applications across an equal number of competitive sets. Finally, relative to the acquirers, INTU is cheap.

Management and company culture

My biggest quibble with the company is they pay people too much. The top five executives made a collective $102M in FY 2025 and the company’s $2B in annual stock comp is a lot. Note that for valuation purposes I reduce company earnings and FCF by tax-affected stock comp.

That said, management is capable and the company culture is strong. The company has only had four CEOs over 43 years (including the legendary Billion Dollar Coach, Bill Campbell) and the founder Scott Cook is still on the board and retains the title of Chief Innovator. It’s important to note that Cook started his career at P&G as a product guy, not a technologist. From the very beginning the point of the company was to make things easy for regular consumers and small business owners (so easy, you could *Intuit* how to use the product). The company has maintained that culture of focusing on making life easier for customers and that has served them well.

The company has faced a number of competitive challenges over the years including an early bruising fight against Microsoft before and after the DOJ killed that proposed merger. Ultimately INTU came out on top and at least in the re-telling it is because they focused more maniacally on making life easy for the customer. If you listen to investor presentations and analyst days that ethos of serving the customer remains strong.

I view Goodarzi as a strong leader and he is doing a solid job executing on his AI strategy but there are some black marks. The company overpaid for Credit Karma in 2020 ($7BN, 50% cash and 50% stock at ~$300). Today that business is growing well and helps protect the TurboTax franchise. The industrial logic behind the 2021 Mailchimp acquisition was okay and it did increase the online services part of QuickBooks. The idea was to provide SMB customers with easy access to the digital tools they need but they way overpaid ($12BN, 50% cash and 50% stock at ~$560) and it hasn't worked out. Today Mailchimp is basically being run for cash and they are basically burying the results within the GBS segment.

The current state of capital allocation is more investor friendly. The company pays a 2% dividend and is repurchasing ~$2B of stock a quarter (11% of the market cap, annualized). On the last earnings call, they announced they are reducing the workforce by 17%. Cuts are coming from Mailchimp, the integration of TurboTax and Credit Karma and general efforts to reduce the fat. This should help with the excessive stock comp and is a welcome move.

Valuation

The company has a July year end. Adjusting street 2027 estimates for stock comp I'm getting cash (owner) earnings of $22 per share for a 12x P/E and an 8% stock comp adjusted FCF yield. Management is guiding to medium term EPS growth of "at least mid-teens." I think high single digit growth in operating income is reasonable which combined with the capital return makes mid-teens seem achievable. I believe the fundamental compounding alone is sufficient to justify the investment but if they really deliver on their targets this is not going to stay at 12x. I see a reasonable upside case where over the next five years INTU doubles EPS and trades at a market multiple. That's a $1,000 stock.

Risks

The obvious risk is that I am completely wrong. No one knows for sure how AI will play out; maybe we are all on our way to the Matrix. The fact that it's an obvious change and there are obvious risks and no one knows the answer is a big source of the current opportunity – these realities make it very difficult for traditional PMs and pod shop managers to own INTU right now.

Beyond general SaaSpocalypse fears, the most recent leg down in the share price has been driven by the fear that AI will do everyone's taxes for free. General Catalyst has funded a start-up called Prime Meridian (www.getprimemeridian.com) where you upload a bunch of documents and get your taxes done for free. There are other AI-native startups. I think these risks are real.

Competition from free filing options have been an issue and concern for TurboTax for well over a decade. The U.S. has had a Free File system since 2001 and created the Direct File program in 2024 (but suspended it in 2025). Free filings are not a new risk.

In 2018 the company began to address these issues with TurboTax Live. Think of it as Uber for CPAs. The most common use case is that a DIY filer does the majority of the return on their own but they want to ask a real human about a specific issue or they want a human to review everything at the end. In some cases they want the human to do it all. Live is over 50% of TurboTax revenue and is growing 36% y/y this year.

TurboTax isn't in the business of selling finished tax returns; they are in the business of selling confidence and trust. AI is lowering TurboTax' cost to do a return so there's no competitive advantage for AI-native providers there. The real issue is that nobody wants to get audited. Yes some low end customers will churn off TurboTax and adopt AI solutions but this is not what people who pay for tax prep are buying. TurboTax charges an average $119 (blended DIY & Live), or about 3% of the average refund. That is a relatively small price to pay to avoid an audit and to get your cash fast.

People hate taxes but they don't broadly hate TurboTax. I think most people love TurboTax—it takes this hellish obligation and turns it into something survivable. In my experience the biggest hurdle is finding everything, or if your tax provider is AI enabled (like TurboTax) you at least have to verify that everything has been ingested properly. You will have to do this gathering/verifying regardless if you DIY, have a CPA or use an AI agent. The incremental effort to take that data and turn it into a DIY return is relatively easy and it's a lot cheaper (and sometimes easier) than dealing with a human CPA.

INTU spends $2B a year on advertising, maybe half of that on TurboTax. Any competitor will not only have to spend a massive amount on advertising they will also have to build out an entire ecosystem that answers people's questions, fixes problems, bills for those things, etc. My money is on TurboTax having the lowest cost of supply for all of those aspects of the job.

On the Q2 call INTU did lower the full year revenue growth guide for TurboTax from 8% to 7% and cited higher churn from low end customers. I have two reactions: 1) low end customers have been churning off for a decade and 2) 7% for a 40 year old business is really good!

The company argues that their assisted products allow them to go after the $37B assisted consumer and small business tax preparation market (current revenue share of assisted tax returns is only about 12%). I expect the growth rates of Live to slow from 38% y/y as it is now the majority of the business but the success of Live suggests the product is working for customers and the TAM suggests it should continue to work for a long time. In addition to payroll and payments Live is another example where AI is enabling INTU to offer classic disruptive innovations that slowly move up-market and eventually destroy the incumbents.

On QuickBooks risks, there is a universe where a bunch of start-ups each raise a few million dollars and are each able to build a better than QuickBooks alternative. Then the very best of them raises a few billion, advertises like crazy, builds out the rest of the infrastructure and effectively pays customers to switch. If that turns out to be the future, our margin of safety relies on the current depressed valuation and most importantly a slow rate of adoption.

Disclaimer: the author had exposure to INTU at the time of submission, 6/30/26. The author has no obligation to update the information contained herein and may make investment decisions that are inconsistent with the views expressed in this presentation. The author makes no representations or warranties as to the accuracy, completeness or timeliness of the information contained in this presentation.

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Catalyst

Time.

Messages

Subject Quickbooks
Entry 07/01/2026 04:08 PM
Member buggs1815

Quickbooks is a horrible product, all kinds of bugs, super slow. Hate that they have changed it to $1000 per year when it used to be perpetual license. Good work if you can get it I guess, but abusive. Literally had an experience last week where it said our subscription was up (it wasn't). Had to call support and waste time with them to get software we already paid for turned back on. Online version isn't good/deep enough to switch. If you own this it should be for Turbotax because Quickbooks is horrible. I honestly hope all this AI allows someone to code up a smooth functuioning competitor that can suck all the data out of quickbooks, because I am dying to use something that actually works where they care about supporting and shipping a good product.

Subject Re: Quickbooks
Entry 07/01/2026 04:30 PM
Member rustler37

Yet you still use it! Am I understanding correct that you still are on the desktop version and don't want to switch to online?

Subject Re: Re: Quickbooks
Entry 07/01/2026 04:40 PM
Member buggs1815

Yes, the lock in is real. Like I said, if someone could make it painless to switch and a more capable competitor we'd switch. For now the point is valid. We keep paying and hating them. In general, customers who hate you hurts you in the end. I think Adobe also has a similar challenge.

Subject Re: Re: Re: Quickbooks
Entry 07/01/2026 06:34 PM
Member rustler37

Legacy desktop QB is now less than 10% of revenue. I would expect them to continue to not try very hard with that product until you get fed up and switch to online. As someone who will use Office 2010 until they pry it from my cold dead hands, I feel your pain. But we are not normal.

Subject Re: Re: Re: Re: Quickbooks
Entry 07/01/2026 06:39 PM
Member Wrangler

To buggs point, I've always assumed the lock-in for QB is the pain of switching. If an AI native alternative can offer to take your QB login info, and then just login to your QB account and automatically migrate it to an alternative for you, the switching costs could disappear and then you're competing on price/brand.

Subject Re: Re: Re: Re: Re: Quickbooks
Entry 07/01/2026 08:14 PM
Member rustler37

Yes, this is the risk. I'm not aware of that product currently. A solution that will seamlessly integrate all historical data and reestablish connections with payroll, payments, invoicing, time keeping, bank feeds, etc. seems years off, if ever. In the meantime the company is shrinking the share count by about 8% a year and is paying a 2% dividend.

Subject Turbotax AI Risk
Entry 07/04/2026 09:28 AM
Member compounders

Would you please explain why you don't think AI poses a more existential risk to the Turbotax business? I don't see why the logical endgame isn't just the average consumer telling Claude "do my taxes" and it then requesting all the appropriate documentation. Prior to generally available AI solutions I can see why the massive cumulative marketing / consumer awareness for Turbotax would have created a moat versus cheap or free competitors, but when everyone has AI available it's not clear to me why anyone would bother using them.

Subject Re: Turbotax AI Risk
Entry 07/04/2026 10:45 AM
Member starfox02

Out of personal interest, is this something you can do today with Claude code with a sufficiently advanced plan? Manually entering k1s into TurboTax is a pain in the butt. I don't know why they make you do it manually. They can import everything else...

Subject Re: Re: Turbotax AI Risk
Entry 07/04/2026 03:11 PM
Member dannny

This?

https://x.com/henrythe9ths/status/2043109671251423416

Subject Re: Re: Turbotax AI Risk
Entry 07/06/2026 12:24 AM
Member Shoe

K-1s are the worst. They used to be much easier. Now it's a total mess. The government or someone has to fix them or automate them

Subject Re: Turbotax AI Risk
Entry 07/07/2026 02:21 PM
Member rustler37

Compounders -- There are two primary reasons why I don't think AI poses more of an existential risk to TurboTax:

1) Human nature. Over half of US tax filers today still hire someone to do their taxes. Over half of TurboTax' revenue today is tied to their Live product where DIYers get some amount of hand holding. Taxes aren't really that hard, I'd guess that 20-25% (max) of filers even have a K-1, but people still want confidence and trust. People aren't hiring TurboTax to "do my taxes." They are hiring TurboTax to give them peace of mind that they are maximizing their refund, that they won't get audited, that someone will back them up if they do get audited. AI will make all this better but Anthropic doesn't have time to try to figure out how to give consumer the warm and fuzzies they need to file their tax return without hand holding -- there are way bigger profit pools for them to go after

2) History. This specific existential problem reminds me a lot of the Google Hotels and Google Flights Products. Google Hotel Finder launched over 15 years ago and yet BKNG and EXPE have done relatively well over that period -- they certainly haven't been disrupted/destroyed as many predicted at the time and over the years. There are a few reasons for this. Probably the most important is that google was in the advertising business, not the transaction business. Google learned that it was much better served by leveraging what they were good at and what they could scale faster (advertising) than they were at trying to build out deep room by room pricing integrations with millions of hotels all over the planet. It was way more profitable to let BKNG and EXPE handle that job.

Dannny's link to that twitter post supports this view -- that post was part of an announcement that both Claude and ChatGPT were integrating with TurboTax. Here's the formal release: https://blog.turbotax.intuit.com/tax-help/turbotax-on-claude-chatgpt-for-ai-tax-help-144205/

Ultimately I don't believe there will be one AI God, or even just a Pantheon of AI Gods. There will be many, many creators of AI products that will do all kinds of jobs we haven't even thought of yet. What is going to matter in the AI future is which companies build the best AI products and for now it seems INTU is furthest along and has the lead in the specific jobs they do.

I'm cribbing these ideas from others, here's one good example (skip to the "Here's what will happen" section to save time): https://a16z.com/death-of-software-nah/

Subject Simple incorporated businesses and their bookkeeping
Entry 07/08/2026 08:26 AM
Member carbone959

What's the situation for businesses that are serious/large enough to be incorporated (and therefore have an obligation to keep orderly books) yet have a simple structure either because they provide a service or buy/sell physical goods with few complicated accounting items?

Which software do they use today? which will they use tomorrow? Is INTU addressing their needs?

Subject AI re pricing power
Entry 07/08/2026 09:41 AM
Member GeneralGrevious

I agree with the view that QBO and TurBotax (apart from low end consumer trade down) should maintain customers. However the bigger question for me is the impact on their pricing power. Particularly when price has been all their growth in the last few years, particularly on the quickbooks side. The lock in probably allows some room but for how long and how much i struggle with.

Subject Re: Simple incorporated businesses and their bookkeeping
Entry 07/08/2026 07:15 PM
Member rustler37

Carbone -- It's going to be different for every company and industry. Today INTU says they have ~1M QB customers with more than $2.5M in revenue. The QuickBooks advanced product is geared to customers in the 2M-10M range and the new Intuit Enterprise Suite (IES) is aimed at customers between $10M and $100M+. From an accounting perspective things really get complicated when you have multiple entities--IES is able to handle this and they say that 74% of IES customers are multi-entity. NetSuite and Sage are probably the most common solutions as companies get bigger -- migrating to QuickBooks IES is much cheaper and easier for existing QB customers and that is the business they are going after.

Subject Re: AI re pricing power
Entry 07/08/2026 07:26 PM
Member rustler37

GG. Yes, we could see an impact on pricing power, especially if INTU fails to deliver AI driven solutions to customers. Re: last few years, I'd push back that it's all been price, the growth has been more like 50/50 price and volume: the ARPC CAGR for QB online was 12% from 2022-2025 while the total online revenue CAGR was 23%. QBs ability to do more for customers (payroll, payments, scheduling, etc.) is an important driver of price increases.

Subject Re: Re: Simple incorporated businesses and their bookkeeping
Entry 07/10/2026 02:21 PM
Member carbone959

Ya.. To be clear I don't have an issue with the argument that INTU might take lots of market share in the mid-higher end of the spectrum and that the money is there.

I guess I should have labeled my question "off-topic".

I am literally asking, without direct reference to QB, what these simpler businesses do for their bookkeeping. What do they have as a solution today and where does that leave them? My impression is many use QB, but QB has lots of excess annoying features that are overkill for.these cases and business owners are losing time with QB. Just trying to validate whether there's room for something fresh on the lower tier of solutions.

Subject Re: Re: Re: Simple incorporated businesses and their bookkeeping
Entry 07/13/2026 04:00 PM
Member rustler37

Carbone, apologies, I thought you were asking about larger companies. For very small companies I believe most use the free tiers of QB, Wave ($HRB) or ZohoBooks. These are all bare bones solutions and if you want things like automated bank feeds all of them go to around $20/mo. I'm not aware of more basic solutions--I believe most just go with QB. Xero is another competitor, though they have struggled in the US and probably don't qualify a simpler solution.

Subject Re: Re: Re: Re: Simple incorporated businesses and their bookkeeping
Entry 07/13/2026 07:03 PM
Member carbone959

Thanks, ya that was my impression. Simpler than that, until today, was Excel. But I think AI can bridge that gap, especially if INTU will be busy focusing on bigger accounts..

Subject Q4'26 Earnings
Entry 08/26/2026 01:20 AM
Member AZA0601

Any thoughts on the INTU print. This pitch drove me to dig in on the name and initiate a position -- I am thankful so far haha

I thought the TT growth figures were on the lighter side, but the operating income / EPS growth figures remain robust. Think the cost cuts are going to roll through quite nicely (probably even more fat in these SaaS businesses) and the company remains on the front foot with share repurchases (although the SBC offset is quite frustrating... $6bn in repo resulting in 2% weighted-average share reduction in a $70-100bn business). I do like the SBC metric adjustment

Overall, feels like a cheap multiple for a company growing operating income 17-18% / EPS 23-24% with $7-9bn in operating cash flow generation (and they are a conservative company on guidance).

Subject Re: Q4'26 Earnings
Entry 08/26/2026 11:22 AM
Member gandalf

Agreed. 15x 2027 July FY estimates for a 9-10% topline, high double digit EPS grower seems pretty good. TurboTax is a mess clearly and AI is going to continue to commoditize this segment, but I consider GBS / QuickBooks pretty moat-y/sticky. Who moves years of accounting data to a new product created by some AI software hacks? Esp when it is already integrated into everything: payroll, invoicing, bank accounts, card processors. I spent quite a bit of time on the phone with some TurboTax insiders and learned that while Live is growing nicely, its still low end and they probably are not making any money on it. The tax DIYers probably even worse and guidance / July results indicative. Still, $23 in non-GAAP EPS now including SBC is up 23% on 9-10% revenue growth - AI is helping cut costs it seems (90mm) and that is probably the tip of the iceburg of cost saves. Buybacks also a plus and can buyback another 4-5% of the share base base this year if they are aggressive about it. Probably will beat the 9-10% agree too.

Subject Re: Re: Q4'26 Earnings
Entry 08/26/2026 01:10 PM
Member JackBlack

Didn't Sasan just tell us that he's going to get aggressive on price in TT? I can see TT profits quickly going to zero, as the decremental margins there are extremely high, and competitors have no choice but to answer with their own price cuts. In the end, the tax prep product is going to be free (I used TT and Prime Meridian both this year on a fairly complicated personal return, and Prime Meridian was the superior experience and cost me $0). I believe Sasan knows this, which is why he's trying to use TT for customer acquisition and then monetize with Money and CK. This model may work over time, but financial results could be ugly in the near term. For now, all of the value appears to lie in the GBS business. I'm not as tight on that business, but any whiff of that getting disrupted by AI, and this stock will fall apart. Meanwhile, HRB looks like a clear short after hearing INTU's strategy.